

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

SAMSUNG ELECTRONICS AMERICA, INC., *Complainant*

v.

ORIENT OVERSEAS CONTAINER LINE LIMITED AND OOCL
(EUROPE) LIMITED., *Respondents and Third-Party
Complainants*

v.

SAMSUNG ELECTRONICS COMPANY, LTD., *Third-Party
Respondent.*

DOCKET NO. 24-17

Served: June 11, 2025

ORDER OF: Richard AMBROW, *Administrative Law Judge.*

ORDER REQUIRING SUPPLEMENTAL BRIEFING, DENYING MOTION TO STAY, GRANTING IN PART AND DENYING IN PART THIRD MOTION FOR ENLARGEMENT OF TIME, AND REQUIRING JOINT STATUS REPORT

I. Introduction

This matter was reassigned to the Undersigned on June 6, 2025. The following motions are currently pending:

- Third Party Respondent's Motion to Dismiss Respondents' Third-Party Complaint ("MTD 3d Party Complaint").
- Respondents' Motion to Stay Proceedings ("Motion to Stay").
- Emergency Third Joint Motion For Enlargement of Time ("Third Motion for Enlargement").

I address each of these motions below. In short, regarding the MTD 3d Party Complaint, Orient Overseas Container Line Limited and OOCL (Europe) Limited (collectively, "OOCL") is **ORDERED** to provide a supplement brief addressing why the Third Party Complaint should not be dismissed for failure to state a claim. The briefing schedule is set forth below. I will rule on the merits of the MTD 3d Party Complaint in the future if necessary.

Regarding the Motion to Stay, it is **DENIED**.

Regarding the Third Motion for Enlargement, it is **GRANTED IN PART** to the extent that the parties requested that the deadline to file the joint status report be extended, but **DENIED IN PART** as to the full length of the enlargement requested.

The Complainant, Samsung Electronics America, Inc. (“SEA”), and OOCL are **ORDERED** to file a joint status report as described below **no later than June 26, 2025**.

II. MTD 3d Party Complaint

A. OOCL’s Motion to Dismiss

Complainant SEA’s original Verified Complaint was served by the Office of the Secretary on March 28, 2024. (See Verified Complaint; *see also* Notice of Filing of Complaint and Assignment).

OOCL filed Respondents’ Motion to Dismiss (“OOCL’s MTD”) on May 13, 2024, seeking to dismiss the entire Verified Complaint for failure to state a claim and lack of jurisdiction (OOCL’s MTD, at 5-6).

On November 18, 2024, after OOCL’s MTD was fully briefed, Administrative Law Judge Alex M. Chintella granted OOCL’s MTD in part, dismissing claims for retaliation under 46 U.S.C. §§ 41102(d) and 41104(a)(3), as well as refusal to deal or negotiate under 46 U.S.C. § 41104(a)(10). (See Order Partially Granting Motion to Dismiss (the “November 18 Order”).) The November 18 Order allowed SEA’s claims under 46 U.S.C. §§ 41102(c), 41104(a)(15), and 41104(a)(14) to go forward, though the November 18 Order also required SEA to file an amended complaint to clarify the amount of reparations sought.

B. The Counterclaim

On December 2, 2024, SEA filed the operative Verified Amended Complaint (“Amended Complaint”) alleging that OOCL violated 46 U.S.C. §§ 41102(c), 41104(a)(15), and 41104(a)(14). In general, SEA alleges that OOCL imposed unjust and unreasonable demurrage and detention charges, provided invoices to SEA with insufficient information, and established unjust and unreasonable dispute resolution procedures. (See *generally* Amended Complaint).

On December 12, 2024, OOCL filed a Verified Answer. The Verified Answer included a Counterclaim against SEA. In the Counterclaim, OOCL alleged that SEA violated 46 U.S.C. § 41102(a)¹ by: “bringing legal proceedings against OOCL and other ocean carriers in an attempt

¹ Section 41102(a) provides that:

A person may not knowingly and willfully, directly or indirectly, by means of false billing, false classification, false weighing, false report of weight, false measurement, or any other unjust or unfair device or means, obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply.

to seek recovery of demurrage, detention and other charges which have been properly assessed to SEA by virtue of its own acts and omissions” (Counterclaim, ¶ 42).

On January 6, 2025, SEA filed Complainant’s Motion to Dismiss Respondents’ Counterclaim (“MTD Counterclaim”) in which SEA argued that OOCL failed to state a claim upon which relief may be granted.

On March 31, 2025, after the MTD Counterclaim was fully briefed, Judge Chintella issued an Order Granting Complainant’s Motion to Dismiss Respondent’s Counterclaim (the “March 31 Order”). Among other things, Judge Chintella noted that SEA’s claims already withstood a motion to dismiss, and were facially legitimate. (March 31 Order, at 5). Moreover, the third element of a claim under § 41102(a) (*i.e.*, respondent obtained or attempted to obtain ocean transportation at less than applicable rates) could not be satisfied: if SEA’s claims succeed, SEA will not owe the charged demurrage and detention; and if SEA’s claims fail, SEA will not pay less than applicable rates. (*Id.*). Judge Chintella concluded that OOCL’s Counterclaim under § 41102(a) failed as a matter of law. Judge Chintella further found that it would be futile to attempt to amend the Counterclaim, and thus dismissed the Counterclaim with prejudice. (*Id.*, at 5-6). That order is currently on appeal before the Commission.

C. The Third Party Complaint

On December 12, 2024, OOCL filed a Third Party Complaint against Samsung Electronic Company, Ltd. (“Samsung”). The Third Party Complaint is substantially similar to the Counterclaim, and alleges that Samsung violated § 41102(a) by: “bringing legal proceedings against OOCL and other ocean carriers in an attempt to seek recovery of demurrage, detention and other charges which have been properly assessed to SEA by virtue of its own acts and omissions” (Third Party Complaint, ¶ 63).

On January 29, 2025, Samsung filed the MTD 3d Party Complaint. In it, Samsung argues that it was not properly served by the Office of the Secretary in accordance with the provisions of the Hague Convention. (*See generally* MTD 3d Party Complaint). On February 13, 2025, OOCL filed Respondents’ Brief in Opposition to Third-Party Respondent’s Motion to Dismiss the Third-Party Complaint (“MTD 3d Party Complaint Response”), arguing, among other things, that Samsung has waived proper service numerous times, that Samsung clearly received notice of the Third Party Complaint, and that, in any event, the proper remedy is to allow OOCL to serve Samsung. (*See generally* MTD 3d Party Complaint Response). On February 20, 2025, Samsung filed Third-Party Respondent’s Reply to Respondents’ Opposition to Third-Party Respondent’s Motion to Dismiss Respondents’ Third Party Complaint (“MTD 3d Party Complaint Reply”).

The Office of the Secretary typically serves a complaint using first class or express mail service at the Respondent’s address provided by the Complainant. (46 C.F.R. § 502.113(b)). The record contains letters dated January 29, 2025, and February 19, 2025, from the Office of the Secretary to OOCL’s counsel indicating that the Third Party Complaint was returned as undeliverable or not accepted for delivery.

Commission Rule 25, 46 C.F.R. § 502.25, grants the presiding officer the authority to manage a proceeding. Here, the Counterclaim and the Third Party Complaint are substantially

similar in that they essentially allege that Samsung and SEA violated § 41102(a) by bringing the underlying Amended Complaint. (See Counterclaim, at ¶ 42; Third Party Complaint, at ¶ 63). Judge Chintella dismissed OOCL's Counterclaim for failure to state a claim upon which relief may be granted. Assuming that Samsung (whose related company initiated this action) will be properly served eventually after additional time, expense, and delay is incurred by parties, as well as the Office of the Secretary, Samsung will likely raise the issue of whether the Third Party Complaint fails to state a claim upon which relief may be granted. Therefore, it appears that it would be more efficient and less expensive for all parties (as well as the Office of the Secretary) to address whether the Third Party Complaint fails to state a claim upon which relief may be granted, rather than address the service issue (which will likely result in Samsung being served properly, and, which, in turn, would likely be followed by a motion to dismiss by Samsung for failure to state a claim upon which relief may be granted). If it is determined that the Third Party Complaint alleges a claim upon which relief may be granted, the service issue can be resolved at that time.

Accordingly, OOCL is **ORDERED** to file a Supplement Brief, no later than **June 26, 2025**, explaining why its Third Party Complaint should not be dismissed for failure to state a claim upon which relief may be granted. OOCL is directed to address, among other things, Judge Chintella's rationale for dismissing OOCL's Counterclaim against SEA.

Although Samsung is not properly a party to this matter, it is permitted to file a Supplemental Brief in response to OOCL's Supplemental Brief no later than **July 10, 2025**. Finally, if Samsung files a Supplemental Brief, OOCL may reply no later than **July 17, 2025**.

III. Motion to Stay

On April 16, 2025, OOCL filed exceptions with the Commission regarding Judge Chintella's March 31 Order that dismissed OOCL's Counterclaim against SEA. Also on April 16, 2025, OOCL filed Respondents' Motion to Stay Proceedings.

In short, OOCL argues that moving forward with discovery while its Counterclaim is pending appeal, and while Samsung's status as a party is still undetermined, would be highly inefficient. (See generally Motion to Stay; see also Memorandum of Law In Support of Respondents' Motion to Stay Proceedings). In response, SEA argues that Judge Chintella's dismissal of the Counterclaim was correct, and that the parties still do not yet have a discovery schedule. (See generally Complainant's Reply to Respondent's Appeal of the Order Granting the Motion to Dismiss Respondents' Counterclaim with Prejudice).

The Motion to Stay is **DENIED**. As noted, the presiding officer has broad authority to manage the course of a proceeding. (See generally Commission Rule 25).

There is no good reason to further delay this matter. The fact that the Counterclaim is on appeal is not a persuasive reason to further delay this matter. Although this is not a situation where a party sought leave to appeal, Commission Rule 221 provides that where a party seeks leave to appeal, the certification of an appeal will not operate as a stay of the proceeding before the presiding officer. (46 U.S.C. § 502.221(d)). In other words, the Commission's rules

contemplate situations where a matter can proceed before the presiding officer while part of it is pending on appeal before the Commission.

The fact that Samsung's status is undetermined is not a persuasive reason to further delay this matter. The bulk of SEA's claims ultimately relate to demurrage and detention charges imposed by OOCL. The issue of whether the demurrage and detention charges were unjust and unreasonable, or whether OOCL's invoices had sufficient information, or whether OOCL's dispute resolution practices were unjust and unreasonable (*see generally* Amended Complaint), can be resolved regardless of whether Samsung is a party. Moreover, even without Samsung as a party, and even while OOCL's Counterclaim is on appeal, OOCL can take discovery of matters that would pertain both to OOCL's defense to SEA's claims in the Amended Complaint, as well as support OOCL's potential Counterclaim or Third Party Complaint under § 41102(a). In addition, the discovery schedule can be amended if it is determined that the Third Party Complaint (or Counterclaim) states a claim upon which relief may be granted, and any issue regarding proper service is resolved.

IV. Third Motion for Enlargement

On March 29, 2024, Judge Chintella issued the Initial Order. Among other things, the Initial Order required the parties to submit a joint status report with a joint proposed schedule that completes discovery within 150 days of service of the answer. (Initial Order, at 1). In addition, the joint status report must state whether each party has contacted CADRS and whether the parties have agreed to engage in mediation. (*Id.*).

In the March 31 Order, Judge Chintella required the parties to file the joint status report described in the Initial Order within 15 days of the March 31 Order. (*See* March 31 Order, at 6).

On April 15, 2025, the day the joint status report was due, the parties filed the Third Motion for Enlargement, asking that the filing deadline for the joint status report be extended until after: 1) the MTD 3d Party Complaint, and Samsung's status as a party, are decided, as well as: 2) OOCL's Motion to Stay is ruled upon.

The Third Motion for Enlargement is **GRANTED IN PART** to the extent that the parties requested that the deadline to file the joint status report be extended.

The Third Motion for Enlargement is **DENIED IN PART** to the extent that the parties ask to delay the filing of the joint status report until after the resolution of the MTD 3d Party Complaint, and Samsung's status as a party. As noted above, this matter can proceed on SEA's claims regardless of whether Samsung is a party.²

The joint status report is due no later than **June 26, 2025**. The joint status report is to include a proposed discovery schedule, which is to be completed within 150 days, as well as the

² For the sake of completeness, the Third Motion for Enlargement is **DENIED AS MOOT** to the extent it asks to delay the filing of the joint status report until after the Motion to Stay is resolved.

status of mediation and/or settlement discussion (though NOT the substance of any settlement discussions).

V. Order

For the reasons discussed, OOCL is **HEREBY ORDERED** to file a Supplement Brief, no later than **June 26, 2025**, explaining why its Third Party Complaint should not be dismissed for failure to state a claim upon which relief may be granted. It is

FURTHER ORDERED that Samsung is permitted to file a Supplemental Brief in response to OOCL's Supplemental Brief no later than **July 10, 2025**. It is

FURTHER ORDERED that, if Samsung files a Supplemental Brief, OOCL may reply no later than **July 17, 2025**. It is

FURTHER ORDERED that the Motion to Stay is **DENIED**. It is

FURTHER ORDERED that the Third Motion for Enlargement is **GRANTED IN PART** to the extent that the parties requested that deadline to file the joint status report be extended, and **DENIED IN PART** to the extent that the parties ask to delay the filing of the joint status report until after the resolution of the MTD 3d Party Complaint, and Samsung's status as a party. It is

FURTHER ORDERED that the parties are to file a joint status report as described in this Order no later than **June 26, 2025**.

Richard C.

Ambrow Jr -S

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Richard C. Ambrow Jr -S
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Richard Ambrow
Administrative Law Judge